

Contestant Number: _____

Time: _____

Rank: _____



Advanced Accounting (110)

STATE 2025

Multiple Choice (30 @ 2 points each) _____ (60 points)

Short-Answer _____ (51 points)

Problem 1 – Depreciation _____ (48 points)

Problem 2 – Notes Payable Transactions _____ (44 points)

Problem 3 – Income Statement and Analysis _____ (55 points)

TOTAL POINTS _____ ***(258 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimal places at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice - Identify the letter of the choice that best completes the statement or answers the question.

1. The amount recorded in the cash credit column of the Cash Payments journal when you pay the payroll represents the _____ for the pay period.
 - A. total gross earnings
 - B. total regular earnings
 - C. total deductions
 - D. total net pay
2. With terms of sale of 2/15, n/30, the 2 represents _____.
 - A. the percentage taken off the amount due if paid within the discount period.
 - B. the number of days within the discount period.
 - C. the number of discount periods allowed for payment.
 - D. the dollar amount of discount if paid within the discount period.
3. The reversing entry for accrued interest income includes a _____.
 - A. debit to interest receivable.
 - B. debit to interest expense.
 - C. debit to interest income.
 - D. debit to interest payable.
4. Equipment damaged in a storm is to be discarded. The original cost was \$30,000, and the accumulated depreciation has been \$12,500 to date. The salvage value is \$1,000. The entry to discard the asset includes a _____.
 - A. Credit to Accumulated Depreciation for \$12,500.
 - B. Credit to Loss on Plant Assets for \$16,500.
 - C. Credit to Cash for \$17,500.
 - D. Credit to Equipment for \$30,000.
5. The payment of a dividend must be authorized by the _____.
 - A. Board of Directors.
 - B. CEO.
 - C. CFO.
 - D. shareholders.
6. Shippers, Inc. buys its own common stock back. What account is credited?
 - A. Treasury Stock
 - B. Capital Stock-Common
 - C. Paid-in Capital in Excess of Par - Common
 - D. Cash

7. Obtaining capital by borrowing money for a period of time is called _____.
 - A. debt financing.
 - B. equity financing.
 - C. establishing a line of credit.
 - D. issuing a promissory note.
8. Expenses paid for in one fiscal period but *not* reported as expenses until a later fiscal period are known as _____.
 - A. accrued expenses.
 - B. unearned expenses.
 - C. prepaid expenses.
 - D. unrecorded expenses.
9. Miller Company purchases a storage unit for \$250,000. The storage unit requires \$25,000 worth of repairs and maintenance to get the storage unit ready for use. What will be the recorded cost of the storage unit?
 - A. \$225,000
 - B. \$250,000
 - C. \$275,000
 - D. \$300,000
10. Selling a truck is shown under what section of the Cash Flows Statement?
 - A. Operations
 - B. Investing
 - C. Noncash
 - D. Financing
11. What depreciation method has the percentages of depreciation determined by the IRS?
 - A. Straight-line
 - B. MACRS
 - C. Sum-of-the-Year's Digits
 - D. Double-Declining Balance
12. Using the LIFO method each year is an application of what accounting concept?
 - A. Matching Expenses with Revenue _____.
 - B. Going Concern
 - C. Consistent Reporting
 - D. Full Disclosure
13. What advantages do common shareholders have over preferred shareholders?
 - A. Greater return on investment
 - B. Company management
 - C. Voting rights
 - D. First right to dividends

14. An amount in the Accounts Receivable debit column of a Departmental Sales Journal is _____.
 - A. posted individually as a debit to a customer's account.
 - B. posted individually as a credit to a customer's account.
 - C. posted individually as a debit to a controlling account.
 - D. not posted individually.

15. Shipping terms passing title to the buyer when goods are shipped are _____.
 - A. FOB shipping point.
 - B. FOB delivery.
 - C. FOB consignment.
 - D. FOB destination.

16. What costing method results in the highest net income in a period of falling prices?
 - A. FIFO
 - B. LIFO
 - C. Weighted average
 - D. Lower of cost or market

17. Markinson and Jessup Co. has an accounts receivable turnover ratio of 9.1. What is the average number of days for payment?
 - A. 39
 - B. 40
 - C. 41
 - D. 42

18. A ratio that shows the relationship of assets and stockholders' equity is the _____.
 - A. current ratio.
 - B. debt ratio.
 - C. debt to equity ratio.
 - D. equity ratio.

19. Which of the following accounts, when increased, would increase the EPS?
 - A. Capital Stock – Common
 - B. Paid in Capital in Excess of Par – Common
 - C. Treasury Stock
 - D. Capital Stock – Preferred

20. The method of depreciation that would result in the lowest book value after year one is the _____.
 - A. Straight-line.
 - B. Double-declining balance.
 - C. Sum-of-the-Year's digits.
 - D. Can't determine without the purchase date.

21. What classification of account is Prepaid Rent?
 - A. Asset
 - B. Liability
 - C. Revenue
 - D. Expense
22. What financial statement will Interest Payable appear on?
 - A. Balance Sheet
 - B. Income Statement
 - C. Statement of Stockholders' Equity
 - D. Interest Payable does not appear on any financial statements.
23. What classification of account is Dividends?
 - A. Asset
 - B. Stockholders' Equity
 - C. Revenue
 - D. Expense
24. What classification of account is Unearned Fees?
 - A. Asset
 - B. Liability
 - C. Stockholders' Equity
 - D. Revenue
25. What financial statement will Retained Earnings appear on?
 - A. Balance Sheet
 - B. Statement of Stockholders' Equity
 - C. Both the Balance Sheet and Statement of Stockholders' Equity
 - D. Neither the Balance Sheet nor the Statement of Stockholders' Equity
26. The normal balance of Prepaid Insurance is a debit.
 - A. True
 - B. False
27. The normal balance of Purchases Discount is a debit.
 - A. True
 - B. False
28. The normal balance of Treasury Stock is a credit.
 - A. True
 - B. False
29. The normal balance of Salaries Payable is a credit.
 - A. True
 - B. False

30. The normal balance of Fees Earned is a credit.
- A. True
 - B. False

Short Answer – 3 points each unless otherwise noted; 51 total points

1. Riker and Riker, a partnership, shows a 2025 net income of \$134,560. At the beginning of 2025, Paul Riker had a capital balance of \$85,210, and Molly Riker had a capital balance of \$91,360. During the year, Paul withdraws \$56,450 in cash, and takes equipment with a book value of \$2,500 out of the business for personal use. Molly withdraws \$62,375 in cash, and donates equipment to the business. The equipment Molly donates cost her \$4,300, and has a market value at the time of donation of \$3,800. The partnership agreement calls for a 60% profit split for Molly Riker, and 40% for Paul.
- a. Give the entry for Molly's equipment donation:

Dr Account_____	Dr Amount_____
Cr Account_____	Cr Amount_____
 - b. What is Molly Riker's share of net income? _____
 - c. What is Paul Riker's share of net income? _____
 - d. Balance of Molly Riker, Capital on December 31? _____
 - e. Balance of Paul Riker, Capital on December 31? _____
2. Schuster Appliances Inc. has 10,000 shares of 5%, \$10 par-value preferred stock outstanding. It also has 100,000 shares of \$20 par-value common stock outstanding. The Board of Directors has declared a \$16,000 dividend. Answer the following questions.
- a. What is the total dividend to be paid to preferred shareholders? _____
 - b. What is the total dividend to be paid to common shareholders? _____
 - c. How much will each common shareholder receive per share of stock? _____

3. S&S Inc. has 25 units in beginning inventory of model A2, at a cost of \$21.50 per unit. S&S has the following purchases during 2024: March 14, 100 units @ \$21.15; July 18, 125 units @ \$20.60; October 10, 110 units @ \$19.75. The inventory on December 31, 2025, shows 118 units.
- What is the cost of ending inventory under FIFO? _____
 - What is the cost of ending inventory under LIFO? _____
 - What is the cost of ending inventory under Weighted Average? _____
4. Semien Sporting Goods allocates departmental expenses by square footage. Total expenses for the month of March include Rent Expense \$4,000, Utilities Expense \$3,400, and Insurance Expense \$2,000. Shown below is the square footage for each department. Allocate each expense to the respective departments accordingly. (1 point each)

Department	Square Footage	Rent Expense	Utilities Expense	Insurance Expense
Apparel	4,500			
Shoes	2,000			
Equipment	3,500			

Problem 1 – Depreciation – 2 points each; 48 points total

Seger Manufacturing purchased a new production machine on January 8, 2025, at a cost of \$82,000. The machine has a useful life of five years, is expected to produce 10,000 units, and has a salvage value of \$8,000. Find the depreciation and ending book value for 2025, 2026, and 2027 using each of the following methods of depreciation.

Depreciation Method	Straight-Line	Double-Declining Balance	Units-of-Production
2025 Depreciation Expense			
2025 Ending Book Value			
2026 Depreciation Expense			
2026 Ending Book Value			
2027 Depreciation Expense			
2027 Ending Book Value			

Assume Redd Manufacturing were to sell the equipment on April 8, 2028, for \$38,500. Give the gain or loss using each depreciation method on the sell.

Depreciation Method	Gain or Loss	Amount of Gain or Loss
Straight-Line		
Double-Declining Balance		
Units-of-Production		

Problem 2 – Notes Payable Transactions – 1 point each; 33 points total

Journalize the following transactions related to notes payable.

April 1, 2025 Purchased equipment using a \$20,000, 5-year, 7% note payable. The note requires annual principal payments of \$4,000 plus interest every April 1.

Accounts	Debit	Credit

December 31, 2025 Record adjusting entry to accrue interest for 2025 on the note.

Accounts	Debit	Credit

January 1, 2026 Record reversing entry for interest expense for 2025 on the note.

Accounts	Debit	Credit

April 1, 2026 Paid the first installment of the note plus interest.

Accounts	Debit	Credit

December 31, 2026 Record adjusting entry to accrue interest for 2026 on the note.

Accounts	Debit	Credit

Problem 3 - Income Statement and Analysis – 55 total points

Complete the Income Statement where applicable, including a vertical analysis for **each line item**. Cardinal Corporation has 50,000 shares of common stock outstanding. The current stock price is \$39.75. Beginning stockholders' equity was \$750,400, while ending stockholders' equity is \$790,800. Round percentages to one decimal point.

Cardinal Corporation			
Income Statement			
For Year Ended, December 31, 2025			
			% of Sales
Sales		1,458,600	
Cost of Goods Sold		790,450	
Gross Profit			
Operating Expenses:			
Selling Expense	146,600		
Rent Expense	70,000		
Salary Expense	241,500		
Depreciation Expense	71,825		
Bad Debt Expense	11,345		
Interest Expense	16,000		
Total Operating Expenses			
Income from Operations			
Loss on Sale of Equipment		(2,500)	
Income Before Taxes			
Income Tax Expense		23,785	
Net Income			

- Gross Profit Percent _____
- Operating Margin _____
- Earnings per Share _____
- P/E Ratio _____
- Return on Equity _____